

UK Holiday Records Compliance 2026

Employment Rights Act 2025 · Effective 6 April 2026

Gazebo Fine Food – Employee Reporting



Why This Matters

The legal change driving this project



From 6 April 2026 — Employment Rights Act 2025

All UK employers **MUST** keep adequate records of employee holiday entitlement and holiday pay. Failure is a criminal offence with unlimited fines.



Records for 6 Years

Every employee's annual leave taken, pay calculations, and carry-over must be stored for a minimum of 6 years.



Criminal Offence

Not keeping records is no longer just a civil matter — it can result in an unlimited fine and criminal prosecution.



Fair Work Agency

A new enforcement body (FWA) launches 7 April 2026 with powers to inspect premises and seize documents.

Objective, Task & End Result

What we are trying to achieve and how



OBJECTIVE

Ensure our company is fully compliant with the Employment Rights Act 2025 by accurately recording, calculating, and retaining all employee holiday entitlement and pay data — before 6 April 2026.



OUR TASK

Extract attendance data from our ClockRite C400 clocking machine, apply the correct UK holiday entitlement formula (5.6 weeks / 12.07% for irregular hours), and produce a clean, auditable record per employee.



END RESULT

A structured holiday record spreadsheet (or system) per employee — stored securely for 6 years — showing days worked, entitlement earned, leave taken, pay calculated, and any carry-over. Readable if inspected by the Fair Work Agency.

Do We Submit Records to the UK Government?

Understanding what to file vs. what to hold



No — There Is No Submission to the Government

You do NOT proactively send holiday records to HMRC, the Fair Work Agency, or any government body. Records must exist and be ready to produce on request if inspected.



What Format?

- Any format is acceptable by law.
- Recommended: Excel / CSV spreadsheet.
- Must be readable and auditable.
- Cloud backup strongly advised.
- Each employee = one clear record.



How Long?

- Minimum 6 years retention.
- Covers leave from Dec 2025 onward.
- FWA has retrospective powers.
- Store securely — treat like payroll.
- Do not delete when staff leave.



Who Can Ask?

- The Fair Work Agency (from Apr 2026).
- Employment tribunals.
- Employees themselves (via Subject Access Request).
- HMRC (if linked to NMW audit).
- Always respond within 28 days.

The Holiday Calculation Formula

How to work out entitlement for each worker type

REGULAR HOURS WORKERS

Days worked per week × 5.6 = Annual leave days

Examples:

5 days/week × 5.6 = 28 days

3 days/week × 5.6 = 16.8 days

(Cannot round down — round up to nearest 0.5)

 Note: Statutory min = 5.6 weeks. Most employers give 28 days (20 + 8 bank holidays).

IRREGULAR / ZERO HOURS WORKERS

Total hours worked × 12.07% = Holiday hours earned

Examples:

100 hrs worked × 12.07% = 12.07 hrs holiday

200 hrs worked × 12.07% = 24.14 hrs holiday

 Note: This method is from the Employment Rights Act 2024 reform. ClockRite data gives the hours.

Step-by-Step: How We Achieve Compliance

From the clocking machine to a legal audit trail

Export from ClockRite

1

Open ClockRite Desktop Software on the office PC → Reports → Export data as CSV or Excel file. Covers clock-in/out times per employee.

Identify Worker Types

2

Sort employees into two groups: (A) Fixed/regular hours, (B) Irregular/zero-hours. Different formulas apply to each.

Apply the Formula

3

For regular workers: $\text{days/week} \times 5.6$. For irregular: $\text{hours worked} \times 12.07\%$. This gives statutory minimum entitlement.

Record Leave Taken

4

Cross-reference against approved leave requests (from HR system or paper forms). Subtract from entitlement to get remaining balance.

Check Holiday Pay

5

Verify pay rates used for holidays include regular overtime and commission — not just basic pay (confirmed by case law).

Save & Store 6 Years

6

Save the final spreadsheet with employee name, dates, entitlement, taken, pay rate. Back up to a secure cloud folder. Label clearly by tax year.

Our Tool: ClockRite C400 Machine

What it does and what we get from it

ClockRite C400

Facial Recognition Attendance Terminal

- Records clock-in and clock-out times by face scan
- Links to ClockRite Desktop Software on Windows PC
- Stores attendance log for all registered employees
- Has built-in Holiday Status report
- Can export data via Reports menu

What You Export

Format

CSV or Excel (.xlsx)

Contains

Name, Date, Clock-In, Clock-Out, Hours

Frequency

Export weekly or monthly

Location

ClockRite Software → Reports → Export

 Python script can read this export automatically and apply the correct holiday formula — generating the final compliance report.

End Result: What 'Done' Looks Like

The record that will keep us legally protected

 Example Employee Holiday Record (per employee, per year)

Employee	Worker Type	Hours Worked	Entitlement (hrs)	Leave Taken	Remaining	Pay Rate Used
Sarah Ahmed	Regular (5d/w)	—	28 days	15 days	13 days	£14.50/hr
Jake Morris	Zero Hours	423 hrs	51.1 hrs	20 hrs	31.1 hrs	£12.21/hr
Priya Nair	Part-time (3d/w)	—	16.8 days	10 days	6.8 days	£16.00/hr

Each record must also include:

Leave year start/end dates

Any carry-over and the reason

Payment for unused leave on termination

Evidence of encouragement to use leave (emails)

Your Action Checklist

Complete these steps to be compliant before 6 April 2026



1. Find ClockRite software on office PC and open it



2. Go to Reports → Export → Save as CSV/Excel (get a sample file)



3. List all employees and mark each as regular-hours or irregular/zero-hours



4. Apply correct formula to calculate each person's annual entitlement



5. Record leave actually taken (from HR records or paper forms)



6. Verify holiday pay rates include regular overtime/commission



7. Save completed records to a secure, backed-up location



8. Set a calendar reminder to repeat this process monthly / at year end